

INDIAN ECONOMY

LEVEL
II



LECTURES

- MEAGRE RESOURCES IN 1950s
- NEHRUVIAN IDEOLOGY OF ECONOMIC SELF-SUFFICIENCY

MODULE - 12



TWO MAJOR PROBLEMS WITH REGARD TO THE FINANCIAL SYSTEM AT THE TIME OF INDEPENDENCE

ISSUE NO - 1

FINANCIAL SYSTEM WAS DOMINATED BY LANDLORDS / MONEY LENDERS



Predominantly private banking system failed to meet the credit needs of the rural areas. Small Scale Industries in rural areas found it difficult to mobilise institutional finance.

- Indian rural financial system at the time of independence was marked by the domination of landlords, traders and money lenders.
- In 1951, if a rural household had an outstanding debt of Rs. 100, about Rs. 93 came from non-institutional sources.
- From the 1950s, there were sporadic efforts to expand the reach of the institutional sector, particularly in the rural areas.

TWO MAJOR PROBLEMS WITH REGARD TO THE FINANCIAL SYSTEM AT THE TIME OF INDEPENDENCE

ISSUE NO - 2

LACK OF INSTITUTIONAL MECHANISMS FOR INDUSTRIAL FINANCE



Government made a beginning for the establishment of DFIs, when IFCI was established in 1948.

- Banks are not meant for long-term industrial finance, which may cause liquidity and solvency related problems due to asset liability mismatches. At the same time, financing to other sectors may be affected.
- Moreover, the banks were in the private sector. The savings were meagre and were not sufficient for the investment needs.
- During the initial plans, the Government relied upon the external assistance to meet the planning needs for various projects.

NEHRUVIAN IDEOLOGY OF ECONOMIC SELF-SUFFICIENCY

- The first Prime Minister of independent India **Jawaharlal Nehru** viewed economic self-sufficiency as necessary and inevitable policy for the preservation of political freedom.
- He felt that depending on imports for railways, airplanes and guns amounted to being slaves of foreign countries.

NEHRUVIAN IDEOLOGY ... WAS IT A SUCCESS OR FAILURE!

Elaborate the Nehruvian ideology of economic self-sufficiency after Independence. Had it succeeded in achieving its goals? Critically evaluate.



“Whenever these countries wished they could stop sending these things ... we would thus remain slaves”

Jawaharlal Nehru.

TWO PRIMARY ASPECTS OF THIS POLICY

- Heavy presence of the **Public Sector Enterprises** and License Permit Raj for private sector
- **Small Scale Industries Reservation**

TWO BROAD CATEGORIES IN THE MATRIX OF SELF-SUFFICIENCY

1 CAPITAL INTENSIVE PRODUCTS

- Jawaharlal Nehru followed the principles of **command economy**. Its goal was to put **strategic sectors** and **heavy industries** in the **State-run enterprises**.
- Capital intensive products are those that had to be **produced** by **large scale enterprises**.



2 LABOUR INTENSIVE PRODUCTS

- These are the products such as **clothing, footwear, kitchen wear** and furniture, that could be produced by **Small Scale Enterprises**.
- These are referred to as **Cottage Industry** in the contemporary nomenclature.



PROMINANCE TO PUBLIC SECTOR BY VIRTUALLY ELIMINATING COMPETITION!

- The strategy was to put strategic sectors and heavy industries in the State-run enterprises by using scarce resources.
- It also includes investment licensing for the private sector, whereby any investment in plant and machinery exceeding Rs. 10 Lakh (revised to Rs. 25 Lakh in 1964) requires a license issued by a Government agency.
- Initially, the Government adopted a policy of denying licenses for their large scale production.
- Imports were shutdown and investment licensing blocked entry of new domestic enterprises. All sources of competition were practically eliminated.

- As imports strictly controlled and domestic output limited by license, for the ones who were lucky enough to get the licenses, it generated large profits.
- Price controls were adopted as the solution, but that created shortages of the items.



BUT, WHAT WAS THE FINAL OUTCOME?



Overall, the public sector enterprises could not modernise to climb higher up the technological ladder. On the other hand, Private sector was contended with near-monopoly conditions in the specified non-core sectors.

- The Public Sector Enterprises could not compete with global enterprises.
- India's industrial ecosystem was characterised by
 - ✓ Low productivity
 - ✓ Lack of technological upgradation
 - ✓ Delays in decision making process / approvals
 - ✓ Poor quality
- Overall Indian manufacturing ecosystem became globally uncompetitive over a period of time.

2

STRATEGY FOR LABOUR INTENSIVE PRODUCTS



SSI RESERVATION POLICY

- In 1967, India adopted the Small Scale Industries (SSI) Reservation Policy. It drew up a long list of labour intensive products.
- It reserved them for exclusive manufacture by enterprises with Rs. 10 Lakh or less in investment in plant and machinery.
- With this meagre investment, cost and quality of these products could not match their foreign counterparts.
- Subsequently, they too had to be protected via import licensing.

WHAT WAS THE FINAL CONCLUSION WHEN ONE LOOKS AT THE ECONOMIC POLICIES OF INDIA FOR THE FIRST FOUR DECADES?



- Industry came to be divided into a formal capital intensive sector, mostly in the public sector, and an informal cottage industry sector.
- Capital got concentrated almost entirely in the former, and labour in the latter.
- Hardly any attractive job opportunities opened for unskilled workers, except a few in the public sector.
- Ultimately, India remained primarily agricultural with 66% of the workforce trapped in that sector, till as late as 1987-88!

TOO LONG PROTECTION ... LICENCE PERMIT RAJ ... ULTIMATELY PROVED TO BE A DISASTER, AS PER MAJORITY OF THE ECONOMISTS!

- In 1950s, both income and savings rates were extremely low that translated into meagre savings.
- With ample labour supply available, the key to fast development lay in the conversion of these savings into the most productive investments.
- Self-sufficiency required rapid expansion of the economy into a diverse set of products - from bicycles to automobiles to railways to airplanes, their components.
- The allocation of scarce savings to various small components/consumer goods manufacturers could have allowed them to achieve scale and product quality, necessary to compete in the vast global economy. That would have created jobs for the unskilled at decent wages.

- Resulting rising incomes would have led to rise in savings, and provided investible funds for investment in progressively more capital intensive products. This is precisely the strategy South Korea, Taiwan and Singapore followed in the 1960s and 1970s.

Overall the policy of the Government of India during the first four decades after Independence proved to be an abysmal failure!



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